

In essence, a value strategy consists of buying stocks that have low prices (normalized by book value, sales, earnings, or dividends, etc.) and selling stocks that have high prices (again appropriately normalized). Academics often normalize by book value. Thus, value stocks are stocks with low prices relative to book value. Growth stocks have high prices relative to book value. The value effect refers to the phenomenon that value stocks outperform growth stocks, on average. One can normalize prices by measures other than book value—which practitioners do when they build their (often proprietary) value factors.

Fama and French's *SMB* and *HML* factors are constructed to be *factor mimicking portfolios*. They are constructed to capture size and value premiums, respectively and use the (CAPM and multifactor) concept of diversification to ensure that the factors capture size and value effects by averaging across many stocks. These factors are long-short portfolios and take positions away from the market portfolio.¹⁹ The average stock, however, only has market exposure since every stock can't be small and every stock can't be large. Let's examine this point more closely because it is intimately related with the profound CAPM insight that the average investor holds the market.

Suppose ~~Buffet~~, I mean Huffet, is a value stock, headed by a manager who likes to buy companies trading for less than their fundamental value, measured, say, by book value. In the Fama–French model in equation (7.2), Huffet has a positive *HML* beta, $\beta_{i,HML}$. Value stocks, on average, do better than growth stocks. Relative to the CAPM, the expected return on Huffet is adjusted upward by $\beta_{i,HML} \times E(HML)$. Since *HML* is constructed to have a positive risk premium (remember, it goes long high book-to-market stocks, which are value stocks with high returns, and goes short low book-to-market stocks, which are growth stocks with low returns), the Fama–French nudges Huffet's risk premium upward to account for its "valueness."

Now consider a growth firm, ~~Enron~~, sorry Inron, which has grown rapidly through a series of acquisitions. Inron has a negative *HML* beta. Relative to the CAPM, the expected return on Inron is adjusted downward, since now $\beta_{i,HML} \times E(HML)$ is negative; because Inron is anti-value, or a growth stock, it carries a lower return.

In the Fama–French model, the *SML* and *HML* betas are centered around zero. The market is actually size neutral and value neutral. Just as the average investor holds the market, the average stock does not have any size or value tilt. It just has market exposure. Furthermore, in the CAPM, the average beta of a stock is one, which is also the beta of the market. The market itself could be affected by macro factors, like GDP growth, inflation, and the factors discussed in the

¹⁹ The *SMB* and *HML* factors are sometimes given as examples of alternative (or smart) beta. I prefer to use the term dynamic factors because technically beta has the strict meaning of measuring exposure to a factor, rather than the factor itself. We invest in factor portfolios, not betas.